

# Comment on the Notice of Proposed Rulemaking: Resolution Submissions Required for Covered Insured Depository Institutions

**Submitted to:** Federal Deposit Insurance Corporation, via [Comments@fdic.gov](mailto:Comments@fdic.gov) (with “RIN 3064-AG21” in the subject line) and the Federal eRulemaking Portal at [www.regulations.gov](http://www.regulations.gov)

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer, a bank, or an interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack (MVEP), a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index (CLII), for continuous monitoring. It also conducts first-party empirical work, including a replication-archived forensic study of the March 2023 Silicon Valley Bank (SVB) episode that reconstructs the transmission of that bank failure into the tokenized-dollar sector at hourly and minute resolution from on-chain data.

This comment is the program’s fourth comment to the FDIC, following its comments on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions rule (RIN 3064-AG29). It is part of a broader set of sixteen comments the program has submitted across eight federal agencies (the Office of the Comptroller of the Currency, the Department of the Treasury, the Financial Crimes Enforcement Network, the Office of Foreign Assets Control, the FDIC, the National Credit Union Administration, the Securities and Exchange Commission, and the Board of Governors of the Federal Reserve System). The recommendations below are designed to coordinate with the FDIC’s parallel rulemakings, including the companion Assessments proposal published the same day (RIN 3064-AG27, 91 Fed. Reg. 39794), rather than to duplicate or contradict them; the comment references the connected rules where the recommendations touch, without restating positions already on the record.

The central proposition of this comment is narrow and specific. The proposed rule reduces exactly the resolution-readiness information whose absence the 2023 failures made costly, and it does so for a size cohort (the \$50 billion to \$100 billion tier) and a risk channel

(uninsured-deposit concentration, and the newer tokenized-deposit and stablecoin-reserve-custody linkages) that the program’s own study of the March 2023 SVB episode indicates can transmit stress rapidly and across sectors. The federal record of those failures supports that proposition directly, and independently of the program’s own work. In its preliminary review of the March 2023 failures, the Government Accountability Office reports the FDIC staff’s own preliminary findings on Silicon Valley Bank’s first resolution plan, still under FDIC review when the bank closed: “the resolution plan did not list potential acquirers for a whole bank purchase, specific portfolios, and franchise components,” and the “plan did not detail crisis communication, liquidity needs, liquidity resources, or processes for determining liquidity drivers” (GAO-23-106736, April 2023, p. 37). Those are, in substance, content categories this proposal now removes: it deletes the identified-strategy and franchise-components requirements at current Sections 360.10(d)(1) and (d)(10), and most of the communications-playbook requirement at current Section 360.10(d)(24) (p. 39550), and it removes the requirement to describe the current capabilities of the CIDI to project and report its funding and liquidity needs (p. 39556). Of the two banks that failed that March, the one that had filed a resolution plan was found wanting in these fields; the proposal responds by ceasing to require them. The program does not oppose burden reduction. It recommends calibrated retentions rather than a size-only elimination, developed as six recommendations below and summarized in the routing table: retain a minimal, high-value subset of readiness information keyed to measured run risk rather than to the raw asset threshold; require that the receivership perimeter explicitly capture tokenized-deposit and stablecoin-reserve linkages; and require that any reliance on the voluntary Resolution Readiness Adjustment (RRA) to backfill de-scoped readiness rest on a currently demonstrated capability rather than on opt-in participation alone.

A note on scope and evidence precedes the recommendations, stated once here prominently and re-flagged at each later use. The program’s first-party study examines payment stablecoins and decentralized-finance protocols, not insured depository institutions (IDIs). Its findings transfer to this rulemaking as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, and not as evidence about any specific IDI. The bank-side transposition on which the first two recommendations rest, that funding structure rather than asset size predicts run vulnerability in the cross-section of banks, is drawn not from the program’s own study but from the bank-cross-section literature. The program consulted Drechsler, Savov, Schnabl, and Wang (2024) directly; that work finds the uninsured-deposit share predicts run vulnerability only where those deposits are insensitive to market rates, and it distinguishes its mechanism from the mark-to-market insolvency mechanism of Jiang, Matvos, Piskorski, and Seru (2024), which, with Choi, Goldsmith-Pinkham, and Yorulmazer (2023), this comment cites as those works are cited in the program’s study. Every figure from the program’s study is scope-qualified again at the point of use.

The six recommendations are summarized in the routing table below and developed in the sections that follow.

| Recommendation                                                     | FDIC question or provision                                                                                           | Requested final-rule action                                                                                                                                                                                                                           | Why it matters                                                                                                                                                            |
|--------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Measured run-risk trigger, not size alone                       | Questions 2 and 3; proposed Sec. 360.10(b) and (c)                                                                   | Do not de-scope the \$50B to \$100B cohort by asset size alone; key continued minimal coverage to a measured run-risk trigger (uninsured-deposit concentration, rapid asset growth) rather than to the raw threshold.                                 | The 2023 failures were liquidity-induced; a CPI-W-indexed size threshold is administrable but an incomplete proxy for the run risk the FDIC must resolve.                 |
| 2. Retained uninsured-deposit-concentration element                | Question 21; deletion of current Sec. 360.10(d)(7)(i) at proposed Sec. 360.10(d)(3)(i), and the key-depositor report | Retain a minimal uninsured-deposit-concentration and key-depositor data element as a small, high-value carve-out against the larger content cut.                                                                                                      | Uninsured-deposit concentration is among the reported elements most predictive of the run dynamics the FDIC resolves.                                                     |
| 3. Tokenized-deposit and reserve-custody linkages in the perimeter | Questions 37 and 38; digital-services content; p. 39556                                                              | Require identification of tokenized-deposit and non-traditional-ledger arrangements, the bank's role as a concentrated reserve custodian or banking partner to a payment stablecoin issuer or fintech, and the operational controls at that boundary. | The receivership perimeter now runs through tokenized-deposit and stablecoin-reserve linkages that can transmit stress across sectors and draw on the federal safety net. |
| 4. Current demonstration, not opt-in participation                 | Question 40; the AG27 RRA overlap                                                                                    | Key any reliance on the RRA to a demonstration that is still current, reconciling the three-year virtual-data-room retest with the seven-year data-access reengagement; do not rest de-scoped-cohort readiness solely on opt-in.                      | A voluntary, rate-incentivized mechanism selects for the banks least likely to fail; the readiness gap concentrates in the non-electing tail.                             |
| 5. Minimal public accountability signal                            | Question 44; removal of the public section                                                                           | Retain a minimal public section or an equivalent accountability mechanism, calibrated and brief.                                                                                                                                                      | Public resolvability information supports market discipline and, per the program's SVB work, public information shapes run dynamics.                                      |

| Recommendation                                        | FDIC question or provision                                                              | Requested final-rule action                                                                                                                                      | Why it matters                                                                                |
|-------------------------------------------------------|-----------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| 6. One operational-capability test, administered once | Questions 16 and 17; elimination of capabilities testing and the credibility assessment | Retain an operational-capability test that the covered IDI can deliver the required operational data at failure, reusable as the same test the AG27 RRA rewards. | One capability, tested once: an observable substitution for the deleted analytical machinery. |

## Group I: Retain the run-risk-predictive information the rule deletes (Recommendations 1 and 2)

### **Recommendation 1 (Questions 2 and 3; proposed Sec. 360.10(b) and (c)): Key continued coverage to a measured run-risk trigger, not to the asset threshold alone**

Proposed Section 360.10(b) establishes the “CIDI threshold amount” at \$100 billion as of the final rule’s effective date, and proposed Section 360.10(c)(5) indexes it triennially to the cumulative non-seasonally-adjusted Consumer Price Index for Urban Wage Earners and Clerical Workers (CPI-W). Question 2 asks whether “\$100 billion is the appropriate initial update to the threshold,” and Question 3 asks whether an “alternative threshold (e.g., \$75 billion, \$250 billion, \$750 billion)” would be better and whether subsidiaries of Title I resolution-plan companies should be exempt. The immediate consequence of the change is that the sixteen midsize banks that comprise the current group B (holding roughly \$1.2 trillion in aggregate) exit the rule entirely and file no resolution submission going forward.

The program recommends that the FDIC not de-scope the \$50 billion to \$100 billion cohort by asset size alone, and that it instead key continued minimal coverage to a measured run-risk trigger. Restoring the real-terms meaning of a threshold that has been static since 2012 is a reasonable objective, and a CPI-W-indexed threshold is administrable and observable. Asset size is, however, an incomplete proxy for the risk the resolution-submission regime exists to manage. The FDIC’s own rationale runs through run dynamics, with size standing in as the proxy for them: the rule reaches large institutions because they “tend to be more susceptible to liquidity-induced failures and fail with shorter runways” (p. 39548). The susceptibility is the reason; the threshold is only the instrument, and the two come apart. A liquidity-induced failure with a short runway is precisely the condition under which pre-positioned operational information is most load-bearing, and susceptibility to it is not a monotone function of crossing \$100 billion in assets.

The FDIC’s own operational account supports treating runway as the operative variable. The FDIC has said so directly. Its 2023 report *Options for Deposit Insurance Reform* explains that “Resolving an institution does not happen without considerable planning and preparation before a potential failure. Bank runs can shorten, or eliminate, the time

available to the FDIC to implement an orderly resolution and increase the costs of the resolution,” and that “Severe liquidity challenges that induce a bank failure are likely to progress quickly and with little warning” (p. 28). The FDIC states that condition in terms of liquidity and time, and does not qualify it by asset size. The Depository Institution Resolutions Handbook, describing how the FDIC develops a resolution structure for a failing institution, lists among its key elements the institution’s “Liquidity position,” the “Marketability of the deposit franchise given the competitive and economic conditions of the market area,” and the “Available time to market the institution before failure.” Those are the facts a resolution turns on, and two of the three are liquidity and time rather than size. A rule that de-scopes by asset threshold alone removes the pre-positioned record for institutions whose liquidity position and available runway are exactly what the FDIC’s own handbook says it will need to assess, at the moment it has least time to assemble them.

The FDIC states the resulting gap candidly. It concedes that it “would not have updated information” for the de-scoped cohort and that “[r]egulators may be less prepared to resolve a failed IDI with total assets between \$50 billion and \$100 billion” (p. 39561). The program treats that concession as the operative fact: the rule identifies a readiness reduction and offsets it with tools examined in Recommendation 4, not with a finding that the cohort is low-run-risk. The bank-cross-section literature indicates why the cohort is not low-run-risk on the dimension that matters here. Jiang, Matvos, Piskorski, and Seru (2024) document that the uninsured-deposit share predicts run vulnerability in the cross-section of banks, and Choi, Goldsmith-Pinkham, and Yorulmazer (2023) show that uninsured-deposit reliance, held-to-maturity losses, and size together predict the cross-section of bank-stock contagion after the SVB run (both as cited in the program’s study of the episode). Run vulnerability, on this evidence, tracks funding structure, not asset size alone.

Drechsler, Savov, Schnabl, and Wang (2024), which the program consulted directly, measure that mechanism across a 715-bank sample and validate it in an event study of the 171 publicly traded banks in that sample around the SVB failure. Their result refines the raw-share finding rather than repeating it: “banks with more uninsured deposits experienced lower returns, but only if their uninsured deposits had a low beta.” On the authors’ account the institutions that failed in 2023 combined a high uninsured-deposit share, a low uninsured deposit beta, and relatively long asset duration, so that the value of their uninsured deposit franchise became large relative to their capital as rates rose. The authors state the framework’s reach plainly: “Our framework is thus able to identify which banks are vulnerable to deposit franchise runs.” A measured trigger of the kind this recommendation asks for is therefore constructible ex ante rather than only after a failure, from quarterly report of condition data together with a deposit rate sensitivity estimated over the prior rate cycle, and it should read that sensitivity alongside the uninsured share. That sample also sits on the cohort this rule de-scopes: it covers United States commercial banks with at least \$1 billion in assets, averaging \$24 billion, with only 17 of the 715 above \$100 billion.

The recommendation is therefore modular rather than a rejection of the threshold. The FDIC could retain the \$100 billion threshold for the full content set while preserving a minimal readiness filing for any institution in the \$50 billion to \$100 billion band that also

crosses a measured run-risk trigger, for example an uninsured-deposit-concentration level or a rapid-asset-growth rate above a defined supervisory floor. This directs continued coverage to the institutions whose failure would be liquidity-induced and fast, which is the failure mode the FDIC names, while allowing the size-only relief to reach the institutions that do not present that profile. The trigger levels are properly the FDIC's to set; the recommendation is that the scoping instrument be a measured run-risk indicator and not the raw threshold in isolation.

**Recommendation 2 (Question 21; deletion of current Sec. 360.10(d)(7)(i) at proposed Sec. 360.10(d)(3)(i), and the key-depositor report): Retain a minimal uninsured-deposit-concentration and key-depositor element**

The proposed rule deletes current Section 360.10(d)(7)(i), which requires “a description of the insured and uninsured deposits and deposit concentrations or other aspects of the deposit base or underlying systems that may create operational complexity for the FDIC” (p. 39552), and it eliminates the key-depositor report. Question 21 asks whether “the proposed elimination of the key depositor requirement” is appropriate and whether a subset of “key depositor data ... helpful to the FDIC in planning for a resolution ... not readily available from other sources” exists.

The program recommends that the FDIC answer its own Question 21 in the affirmative and retain a minimal uninsured-deposit-concentration and key-depositor data element as a small, high-value carve-out against the larger content reduction. Among the many items the rule deletes, this one is distinctive: it is among the reported elements most directly predictive of the run dynamics the FDIC must resolve. The 2023 failures were, in the FDIC's own framing, liquidity-induced and fast, and the bank-cross-section evidence cited in Recommendation 1 identifies the uninsured-deposit share, and the rate sensitivity of those deposits, as the balance-sheet characteristics that predict which institutions run. A resolution-submission regime that retains operational facts about deposit systems but discards the concentration description discards the field that tells the FDIC where the run pressure will originate and how fast the funding base can leave.

The FDIC's own companion proposal answers the second half of Question 21. Current Section 360.10(d)(7)(v), which this rule would remove in its entirety, requires that “[t]he report must identify key depositors by name and business segment and the amount of deposit of each key depositor, and for each key depositor must identify other services provided by the CIDI to that depositor, such as lending, wealth management, brokerage services, or custody services.” The companion Assessments proposal defines key depositors in the same terms at proposed Section 327.18(b)(2), and its virtual-data-room test requires the institution to produce “a report regarding key depositors (including key depositors by name and business segment, the amount of each key depositor's deposits, and a list of other services provided to such key depositors), though existing management reports are acceptable” (RIN 3064-AG27, p. 39814). The FDIC is therefore removing the report from this rule as obtainable from other sources while requiring the same report, in the same form, in the companion rule published the same day, and stating there that existing management reports suffice. That is the FDIC's own evidence that the element is easily

provided, which is the test Question 21 sets. The program does not ask that the report be retained in its full by-name form; the aggregate balance held by those depositors, which the suggested rule text below proposes, is the subset Question 21 invites.

The retention need not reintroduce the analytical burden the rule is removing. The recommendation is not that the covered IDI reconstruct a hypothetical resolution analysis around its deposit base; it is that the FDIC retain a compact, reported data element (the distribution of insured and uninsured deposits, the concentration among the largest depositors, and the deposit systems that create operational complexity) that the institution already maintains for its own liquidity management. Retained as a small data element rather than as a narrative resolvability analysis, the item is consistent with the rule's stated shift toward "operational information ... rather than strategy and analyses" (Question 44 framing), and it preserves the one input whose absence would leave the FDIC least prepared for a liquidity-induced failure of exactly the kind the 2023 experience documented.

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## **Group II: The receivership perimeter must capture tokenized-deposit and stablecoin-reserve linkages (Recommendation 3)**

### **Recommendation 3 (Questions 37 and 38; digital-services content; p. 39556): Require identification of tokenized-deposit and stablecoin-reserve-custody arrangements and the operational controls at the boundary**

The proposed rule revises the digital-services content to strip resolvability analysis while retaining operational facts, and Questions 37 and 38 ask whether that content is clear and "appropriately calibrated." The FDIC's own explanation of why the digital-services content matters is the anchor for this recommendation. The rule states that "certain digital products and services, including tokenized deposits and bank-sponsored deposit or fintech platforms, may be provided through specialized transaction processing procedures, settlement mechanisms, and non-traditional ledgering arrangements. These transfer capabilities must be understood to accurately establish the receivership perimeter and support timely deposit insurance determination" (p. 39556).

The program recommends that the retained digital-services content require three specific identifications, because the receivership perimeter the FDIC describes now runs through arrangements that a conventional deposit-and-payment description does not capture. First, the covered IDI should identify its tokenized-deposit and non-traditional-ledger arrangements, including the ledger or ledgers on which the instruments are recorded and any location-dependent change in the instrument's legal character. Second, the covered IDI should identify its role, where applicable, as a concentrated reserve custodian for, or banking partner to, a payment stablecoin issuer or a fintech platform, together with the size and concentration of that relationship. Third, the covered IDI should identify the operational controls at that boundary, including any block, freeze, or reject capability, the end-of-day processing cut-off times the rule already proposes to collect, and the

sweep-account and fund-movement controls that govern how balances move across the boundary at and after failure. This is the same control-layer observability the program’s MVEP and CLII instruments apply to interface operators, directed here at the receivership perimeter: the object of measurement is not the institution’s strategy but the concrete, testable functions through which value crosses the perimeter.

The second of those identifications rests on more than the program’s own reading. A December 2025 Federal Reserve FEDS Note by Jessie Jiaxu Wang, “Banks in the Age of Stablecoins,” describes the relationship from the bank’s side: at individual banks “the proportion of funding coming from a small number of large stablecoin issuers may increase dramatically, creating counterparty concentration that traditional diversification metrics might not fully capture,” and issuers “likely maintain relationships with a limited number of banking partners that have the operational capabilities and risk appetite to serve this market.” On that analysis, a resolution submission that does not identify the relationship would omit a concentrated, uninsured funding position at an institution the FDIC would have to resolve, which is information the receivership perimeter depends on.

The program’s first-party study of the March 2023 SVB episode indicates why these linkages belong inside the perimeter rather than outside it. The following figures are drawn from that study, which examines payment stablecoins and decentralized-finance protocols and not insured depository institutions; they are offered as method and as a cautionary pattern about how reserve concentration transmits stress, and not as evidence about any specific IDI. In that episode, a single bank’s failure transmitted to a novel non-depositor counterparty through a reserve-custody relationship. Circle, the issuer of the USDC stablecoin, held \$3.3 billion of its reserves (approximately 7.8 percent of about \$42.1 billion) at SVB; when SVB failed, USDC depegged by approximately 11 percent at its intraday low and traded to roughly \$0.89, below the roughly \$0.92 floor implied by its reserves even at zero recovery on the SVB deposits. The within-unit event study places the trough at 9.77 percentage points below par at hour +10. The stress then propagated through code rather than through panic: MakerDAO’s Peg Stability Module absorbed approximately \$1.30 billion of USDC in a single day, importing USDC’s discount into a second, structurally distinct token (DAI) through a hardcoded exchange rate. This is the transmission the FDIC’s receivership-perimeter language is trying to make legible: reserve concentration at one bank, moving across a settlement boundary into instruments the bank does not itself issue.

Two features of that episode bear directly on the FDIC’s interest in the Deposit Insurance Fund. First, the disruption was resolved by the federal safety net, not by private arbitrage: the recovery trajectory breaks at the March 12, 2023 joint Treasury, Federal Reserve, and FDIC statement invoking systemic-risk exceptions for SVB and Signature Bank, a break that a formal structural-break test dates to that announcement (Chow  $F = 7.41$ ,  $p = 0.0012$ ; HAC joint Wald  $F = 12.71$ ,  $p < 0.001$ , in the stablecoin setting described above). The implication the study draws is that stablecoin par convertibility, in the existing architecture, free-rides on the public safety net during tail events. Second, regulatory intensity did not predict the outcome: Circle scored 0.92 on the CLII and experienced the largest depeg, while Tether, scoring 0.52 with no failed-bank reserve exposure, held its peg



(again, a stablecoin-sector observation offered as method, not as evidence about any IDI). The lesson for this rule is not that any covered IDI is fragile; it is that the reserve-custody and tokenized-deposit linkages are exactly the surface through which a banking-sector shock can enter, and be exported to, a novel non-depositor sector, and through which the DIF and the systemic-risk machinery can be called upon. A receivership perimeter that does not identify those linkages in advance is a perimeter drawn before the stress path is visible.

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### **Group III: Observable substitution and public accountability (Recommendations 4 through 6)**

#### **Recommendation 4 (Question 40; the AG27 RRA overlap): Key the RRA’s readiness backfill to a current demonstration, not to opt-in participation**

The proposed rule leans on the voluntary RRA in the companion Assessments proposal to offset the readiness it de-scopes. The FDIC expects that “many of these institutions would elect to qualify for the RRA” (p. 39561), and Question 40 asks whether commenters anticipate overlap between this rule’s informational requirements and “the separately proposed Assessments proposal, which envisions voluntary provision of certain information through a VDR testing exercise or the prescribed data access,” and whether the rule should be amended for institutions that voluntarily provide that data. Under the Assessments proposal, the RRA is a downward assessment adjustment of up to 1 basis point (0.5 basis points for passing a VDR test that populates an online data room with financial, deposit, and loan data within 48 hours, and 0.5 basis points for granting the FDIC prescribed data access), retested on multi-year cycles.

The program’s recommendation has two parts. First, where the FDIC relies on the RRA to backfill de-scoped readiness, that reliance should be keyed to a demonstration that is still current. The Assessments proposal’s regulatory text already tests the capability rather than accepting a representation of it: proposed Section 327.18(e) requires the institution to populate an FDIC-specified data room within 48 hours of the test beginning and conditions the credit on the FDIC’s review of what was uploaded, and proposed Section 327.18(f) requires an engagement in which deposit and loan core data are actually provided. That is the observability-over-attestation standard the program has argued across its FinCEN and FDIC comments (for example, in FINCEN-2026-0100 and FINCEN-2026-0034, that a control capability must be independently tested rather than presumed from the existence of a function, and in the program’s comment on the FDIC prudential rule, RIN 3064-AG19, that operational controls be verified rather than represented), and the FDIC has already applied it. The gap is currency rather than form. Data-room capability is retested every three years under proposed Section 327.18(e)(4)(ii), but data access is reengaged only every seven years under proposed Section 327.18(f)(3)(ii). Where this rule de-scopes a cohort permanently, readiness credited on a demonstration up to seven years old is a weak substitute for the filing it replaces, and the companion comment recommends that the FDIC reconcile the two intervals.

Second, de-scoped-cohort readiness should not rest solely on opt-in. A voluntary, rate-incentivized mechanism has a selection property that runs against the FDIC’s stated purpose: it selects for the banks most confident of their own readiness and least likely to fail, so the readiness gap concentrates in the non-electing tail. The Assessments proposal’s own baseline assumes that roughly three-quarters of eligible institutions elect and earn the full RRA, which is another way of stating that roughly one-quarter do not, and the institutions that decline a rate-rewarded readiness test are not a random draw from the cohort. The program’s SVB study reinforces the concern from the loss side: because par convertibility and, more generally, tail-event stabilization drew on the public safety net rather than on private arbitrage in that episode, the readiness the FDIC and the DIF ultimately depend on is not something that should be optional for the institutions most likely to transmit stress. The recommendation is that the final rule retain a minimal, non-optional readiness element for the de-scoped band (the measured-trigger filing of Recommendation 1 and the deposit-concentration element of Recommendation 2 are candidates), so that the voluntary RRA operates as an enhancement above a tested floor rather than as the floor itself.

**Recommendation 5 (Question 44; removal of the public section): Retain a minimal, calibrated public section or an equivalent accountability mechanism**

The proposed rule eliminates the public section of resolution submissions. Question 44 asks whether “the changing nature of the resolution submission, with a narrow focus of operational information ... rather than strategy and analyses, makes a public section no longer appropriate or relevant? If not, what would be the utility and appropriate scope of a public section?”

The program recommends that the FDIC retain a minimal public section, or an equivalent accountability mechanism, calibrated and brief. Two grounds support retention. First, public resolvability information supports market discipline: the ability of counterparties, uninsured depositors, and analysts to observe that a large institution is resolvable is part of what makes resolvability credible, and a regime that reduces the public signal to zero removes a channel through which market participants price and monitor that credibility. Second, the program’s SVB work indicates that public information shapes run dynamics. In that episode, the pace and content of public disclosure moved the secondary-market price directly, and the recovery turned on a public policy announcement; the general pattern, that runs are driven by what holders can observe and update on, is well documented in the run literature the study builds on. Public resolvability information is not neutral to run risk, and a calibrated public section is a place where the FDIC can shape, rather than merely withhold, the information environment around a large institution under stress.

The recommendation is deliberately modest on scope. The program does not recommend that the public section reproduce sensitive operational detail; the rule retains its confidential-treatment provisions (Section 360.10(h)) for material whose disclosure would itself be destabilizing, and a minimal public section can coexist with them. A brief public statement that an institution is subject to the regime, has filed, and has demonstrated the core operational capability the rule now prioritizes would preserve the accountability signal

at a fraction of the prior public-section burden. If the FDIC concludes that a formal public section is no longer proportionate, the program recommends an equivalent lightweight accountability mechanism (for example, a published attestation of filing and capability status) rather than the removal of any public signal at all.

**Recommendation 6 (Questions 16 and 17; elimination of capabilities testing and the credibility assessment): Retain an operational-capability test, reusable as the RRA’s test**

The proposed rule eliminates capabilities testing and the credibility assessment (the material-weakness and significant-finding determinations and the associated feedback regime). Question 16 asks “What requirements of the proposed rule, if any, should be eliminated?” and Question 17 asks whether “any of the content requirements that would be removed ... should be retained.” The program’s answer to Question 17, on this specific item, is that an operational-capability test should be retained even if the analytical credibility assessment is streamlined.

The two eliminated mechanisms are not equivalent, and the case for removing them differs. The credibility assessment evaluated CIDI-authored analytical resolution planning (the strategy, failure-scenario, and valuation analyses the rule is deleting), so streamlining it follows from deleting the analyses it graded, and the program does not contest that step. Capabilities testing is different in kind: it asks not whether an institution’s written analysis is credible but whether the institution can actually deliver the required operational data when the FDIC needs it. That question survives the shift to operational information; if anything, it becomes the central question, because the rule’s own premise is that standardized operational data at failure substitutes for the deleted analytical planning. A regime that relies on operational data at failure, but does not test whether the institution can produce that data at failure, has removed the check on its own load-bearing assumption.

The program recommends that the FDIC retain an operational-capability test that the covered IDI can deliver the required operational data at the point of failure, distinct from the analytical credibility assessment. Two features make this low-burden. First, it is consistent with the observability principle the program has argued throughout: it tests a demonstrated function rather than a representation, which is the same standard Recommendation 4 applies to the RRA. Second, and directly responsive to the Question 40 overlap, it can be the same test. The RRA’s VDR exercise in the Assessments proposal is already an operational test of whether an institution can populate a data room with financial, deposit, and loan data within a fixed window; designed once, that test can satisfy both the RRA’s rate-credit condition and this rule’s retained capability requirement. Both pieces of that test already exist in the FDIC’s current resolution rule: the authority to run it, and the content it would run against. Current Section 360.10(f)(7) states the authority in operative form: at its discretion, the FDIC “may require any CIDI to demonstrate the CIDI’s capabilities described, or required to be described, in the full resolution submission, including the ability to provide the information, data and analysis underlying the full resolution submission.” Current Section 360.10(d)(10)(viii) supplies what such a test would

run against, requiring the CIDI to describe its capabilities and processes to establish a virtual data room promptly in the run-up to or upon failure and setting out the content that room must hold, a list whose categories proposed Section 327.18(e)(1) largely follows, with added categories and a differently stated catch-all. Retaining that authority and pointing it at the Assessments proposal's virtual-data-room test would reuse language the FDIC has already written rather than draft new language. The program recommends that the FDIC align the two so that a covered IDI faces one operational-capability test, administered once, that both earns the RRA and demonstrates the readiness this rule now depends on.

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## Suggested rule text

Agencies act on language they can lift. The following is offered as drafting input for the five recommendations above that reach the regulatory text, using the proposal's own defined terms and calibration conventions. Where a numerical trigger is properly the FDIC's to set, it is left bracketed rather than invented.

- **Possible regulatory text at proposed 12 CFR 360.10(c) (Recommendation 1)**, as a new paragraph (6): "Limited submission below the CIDI threshold amount. An insured depository institution with total assets of at least \$50 billion but less than the CIDI threshold amount must file, on the cycle specified in paragraph (c)(1) of this section, a submission limited to the content required by paragraphs (d)(3) and (d)(12) of this section if, in its quarterly reports of condition for four consecutive quarters, its estimated uninsured deposits exceeded [X] percent of total deposits or its total assets grew by more than [Y] percent. The FDIC will publish the applicable percentages and may adjust them by order."
- **Possible regulatory text at proposed 12 CFR 360.10(d)(3)(i) (Recommendation 2)**, added at the end: "and describe the insured and uninsured deposits and deposit concentrations, and any other aspects of the deposit base or underlying systems, that may create operational complexity for the FDIC, including the aggregate balance held by the institution's key depositors as that term is defined in Sec. 327.18(b) of this chapter." This retains the deleted element as a reported data item rather than as the narrative analysis the rule is removing, and it borrows the companion Assessments proposal's own definition of key depositors so that one term serves both rules.
- **Possible regulatory text at proposed 12 CFR 360.10(d)(12) (Recommendation 3)**, as new paragraphs (iv) through (vi): "(iv) Identify any deposit or deposit-like obligation recorded on a distributed or other non-traditional ledger, and identify each ledger on which it is recorded. (v) Identify whether the CIDI holds reserves for, or provides deposit or payment services to, an issuer of a payment stablecoin or a financial technology firm, and state the aggregate balance and the share of total deposits that the relationship represents. (vi) For each arrangement identified under paragraphs (d)(12)(iv) and (v) of this section, describe the operational controls at the boundary, including any capability to block, freeze, or

reject a transfer, the applicable end-of-day processing cut-off times, and the controls governing movement of funds between accounts.” Paragraph (vi) reuses the processing cut-off times the proposed rule already collects, so it adds a boundary description rather than a new data call.

- **Possible regulatory text at proposed 12 CFR 327.18(f)(3)(ii) of the companion Assessments proposal (Recommendation 4):** replace “every seven years” with “every three years,” so that data-access capability is reengaged on the same cycle as the virtual-data-room retest under proposed Sec. 327.18(e)(4)(ii). Where this rule de-scopes a cohort permanently and names the adjustment as the backfill, the two components of that adjustment should not be re-verified on cycles that differ by four years.
- **Possible regulatory text at proposed 12 CFR 360.10(e) (Recommendation 6),** added at the end: “The FDIC may test a CIDI’s capability to produce the content required by paragraph (d) of this section. A CIDI that has received written notice under Sec. 327.18(e)(3)(ii)(A) of this chapter that it demonstrated its capabilities to populate a virtual data room, and whose demonstration remains current under Sec. 327.18(e)(4)(ii) of this chapter, satisfies this paragraph.” This is the “one capability, tested once” alignment in operative form: it retains a capability test without creating a second exercise for institutions the companion rule already tests.

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## Cross-rule alignment

The recommendations connect at three points to the FDIC’s simultaneous Assessments proposal (RIN 3064-AG27, 91 Fed. Reg. 39794) and to the program’s prior FDIC comments. The table below states the alignment the program recommends; it does not restate the prior comments, which are on the record.

| This proposal<br>(RIN 3064-AG21)                                                                                                  | Sibling proposal or prior<br>comment                                                                                                 | Recommended alignment                                                                                                                                                                                                                                                                             |
|-----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| De-scopes the \$50B to \$100B cohort from resolution submissions and leans on the voluntary RRA to backfill readiness (p. 39561). | AG27 Assessments proposal: RRA of up to 1 basis point for large and highly-complex banks that pass a VDR test and grant data access. | Keep the RRA’s reliance keyed to a current demonstration and reconcile its three-year and seven-year re-verification intervals (Recommendation 4), and let that single test also satisfy this rule’s retained operational-capability requirement (Recommendation 6): one capability, tested once. |

| This proposal<br>(RIN 3064-AG21)                                                                             | Sibling proposal or prior<br>comment                                                                                                                                                         | Recommended alignment                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Deletes the uninsured-deposit-concentration description (Sec. 360.10(d)(7)(i)) and the key-depositor report. | AG27 moves the \$10B to \$30B cohort, which carries a higher average uninsured-deposit share (34.8 percent versus 32.6 percent, AG27 Table 1), to the less risk-sensitive small-bank method. | Both rules reduce readiness sensitivity for run-prone midsize cohorts; retain a minimal uninsured-deposit-concentration element in this rule (Recommendation 2) so at least one supervisory instrument continues to price the run channel.                                                          |
| Revises the digital-services content to strip resolvability analysis (Questions 37 and 38).                  | AG27 prices size and resolvability but includes no crypto, digital-asset, or tokenization risk factor.                                                                                       | Use this rule’s receivership-perimeter content to capture tokenized-deposit and stablecoin-reserve linkages (Recommendation 3), since neither rule otherwise brings those linkages into supervisory view.                                                                                           |
| Requires operational verification of control functions at failure.                                           | Program comments on the FDIC prudential rule (RIN 3064-AG19) and BSA and sanctions rule (RIN 3064-AG29), and to FinCEN (FINCEN-2026-0034, FINCEN-2026-0100): observability over attestation. | Hold the RRA test and the retained capability test to the same observability-over-attestation standard the Assessments proposal already adopts, and keep both current, so the readiness the DIF relies on is demonstrated rather than represented and is not years stale (Recommendations 4 and 6). |

## Anticipated objections

The program anticipates several objections and addresses the principal ones directly.

First, that any retention defeats the burden reduction the rule is designed to deliver. The program does not oppose burden reduction, and the recommended retentions are minimal and targeted. The FDIC’s own Paperwork Reduction Act analysis attributes roughly \$27.7 million of the estimated aggregate savings to content reduction, out of about \$68 million total (Table 2, p. 39561); the recommended carve-outs (a measured-trigger filing for a subset of the de-scoped band, a compact deposit-concentration element, three specific digital-services identifications) reuse data the institution already maintains and reach only a fraction of the deleted content. The recommendations retain the highest-value information, not the most voluminous, and they leave the bulk of the analytical relief intact.

Second, that the RRA and the FDIC’s “other tools to promote resolution preparedness for midsize banks” (p. 39561) already backfill the readiness. The RRA is voluntary and rate-incentivized, and the FDIC’s own participation assumption implies a non-electing tail;

opt-in participation and a currently tested capability are different objects, which is the whole of Recommendation 4. The program does not dispute that the FDIC has other tools; it recommends that at least one of them, for the de-scoped band, be a non-optional readiness element rather than an inducement the least-ready institutions can decline.

Third, that the \$50 billion to \$100 billion cohort is below the size range that failed in 2023 (approximately \$110 billion to \$230 billion), so the de-scoping is consistent with the lesson of that year. The transmission mechanism the failures exposed, uninsured-deposit concentration and rapid outflow, is a funding-structure property, not a size threshold, and the bank-cross-section evidence indicates it is not bounded at \$100 billion. The FDIC's concession that it "may be less prepared to resolve a failed IDI with total assets between \$50 billion and \$100 billion" (p. 39561) is a statement that the readiness reduction is real for this band specifically. Recommendation 1 responds by keying continued coverage to the funding-structure trigger rather than to the size line.

Fourth, that tokenized-deposit and stablecoin-reserve linkages are speculative or immaterial for the institutions this rule covers. The FDIC itself identifies these arrangements as content that "must be understood to accurately establish the receivership perimeter and support timely deposit insurance determination" (p. 39556).

Recommendation 3 asks only that the retained digital-services content identify the linkage where it exists; it does not require any new capability or presume that any covered IDI presents the profile. The program's SVB figures are scope-qualified throughout as a stablecoin-sector cautionary pattern, offered to show that the linkage is a real transmission surface, not to characterize any IDI.

Fifth, that a public section could itself precipitate a run. The recommendation is for a minimal, calibrated public section, and the rule retains its confidential-treatment provisions for genuinely destabilizing detail. The program's SVB work indicates that public information shapes run dynamics in both directions; a calibrated public signal that an institution is resolvable and has demonstrated the core capability is a stabilizing use of that channel, not a destabilizing one, and it preserves the market-discipline function that full removal would end.

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## Conclusion

This rule reduces resolution-readiness information at the moment the 2023 experience has made that information most valuable, for a size cohort and a set of risk channels that the program's first-party study indicates can transmit stress quickly and across sectors. The program does not oppose the FDIC's deregulatory objective, and it accepts that the CIDI-authored analytical planning the rule deletes duplicates work the FDIC performs at failure. Its recommendations are calibrated retentions, not a reversal. Key the continued coverage of the \$50 billion to \$100 billion band to a measured run-risk trigger rather than to asset size alone (Recommendation 1); retain a compact uninsured-deposit-concentration and key-depositor element, one of the most run-predictive fields the rule deletes (Recommendation 2); require the receivership perimeter to identify tokenized-deposit and

stablecoin-reserve linkages and the operational controls at that boundary (Recommendation 3); key the readiness the rule offloads to the voluntary RRA to a current demonstration rather than to an opt-in (Recommendation 4); retain a minimal, calibrated public accountability signal (Recommendation 5); and retain an operational-capability test, administered once, that both earns the RRA and demonstrates the readiness this rule now depends on (Recommendation 6). Each recommendation asks the FDIC to substitute an observable, tested object for information it is removing, so that the final rule prices and monitors the run risk it must resolve, rather than reducing the risk information by size alone. These are disciplines that can be observed and measured, not accommodations; a regime grounded in demonstrated operational capability imposes discipline rather than relaxing it.

The research program appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

### **The proposed rule and its companion.**

- Federal Deposit Insurance Corporation, “Resolution Submissions Required for Covered Insured Depository Institutions,” 91 Fed. Reg. 39546 (June 30, 2026) (RIN 3064-AG21; 12 CFR Part 360). Pages cited: 39546 (summary), 39547 (rapid-sale rationale; RRA and Deposit Insurance Fund), 39548 (2023 experience; “liquidity-induced failures ... shorter runways”), 39550 to 39552 (deleted content, including the Section 360.10(d)(2) valuation and the Section 360.10(d)(7)(i) deposit-concentration description), 39555 (qualified financial contracts in the 2023 failures), 39556 (tokenized deposits and the receivership perimeter), 39561 (“Regulators may be less prepared ...”; Paperwork Reduction Act Table 2), 39564 (Executive Order 14192).
- Federal Deposit Insurance Corporation, “Assessments Thresholds, Rate Schedules, and Adjustments,” 91 Fed. Reg. 39794 (June 30, 2026) (RIN 3064-AG27; 12 CFR Part 327), including the Resolution Readiness Adjustment (proposed Section 327.18) and Table 1 (p. 39798) on the reclassified cohort’s uninsured-deposit share.

### **The FDIC’s own operational account of resolution.**

- Federal Deposit Insurance Corporation, *Depository Institution Resolutions Handbook* (February 2025), Chapter 2 (Overview of the Resolution Process), enumerating the key elements the FDIC considers when developing a resolution structure.



- Federal Deposit Insurance Corporation, *Options for Deposit Insurance Reform* (May 1, 2023), Section 4, p. 28 (Minimizing Disruptions From Bank Resolution), on the planning and preparation a resolution requires before a potential failure, and on how bank runs shorten or eliminate the time available for it and increase the cost of the resolution.

### **The federal record of the March 2023 failures.**

- U.S. Government Accountability Office, “Bank Regulation: Preliminary Review of Agency Actions Related to March 2023 Bank Failures,” GAO-23-106736 (April 2023). Pages cited: 36 (Appendix I: Silicon Valley Bank’s first resolution plan, filed December 1, 2022 and still under FDIC review at closing), 37 (Appendix I: FDIC staff’s preliminary findings that the plan did not list potential acquirers for a whole bank purchase, specific portfolios, or franchise components, and did not detail crisis communication or liquidity content).

### **Official-sector analysis of the bank side of stablecoin reserve custody.**

- Wang, Jessie Jiaxu, “Banks in the Age of Stablecoins: Some Possible Implications for Deposits, Credit, and Financial Intermediation,” FEDS Notes, Board of Governors of the Federal Reserve System (December 17, 2025). Source of the bank-side concentration observations cited in Recommendation 3: counterparty concentration from a small number of large stablecoin issuers at individual banks, and issuers’ relationships with a limited number of banking partners. FEDS Notes are articles in which Board staff offer their own views.

### **Current rule.**

- 12 CFR 360.10, as amended, “Resolution Plans Required for Insured Depository Institutions with \$100 Billion or More in Total Assets; Informational Filings Required for Insured Depository Institutions with At Least \$50 Billion but Less Than \$100 Billion in Total Assets,” 89 Fed. Reg. 56648 (July 9, 2024) (effective October 30, 2024). Paragraphs cited: 360.10(d)(7)(i) and (d)(7)(v) (deposit concentrations; the key-depositor report); 360.10(d)(10)(viii) (the virtual data room and its content list); 360.10(f)(7) (capabilities testing).

### **The program’s first-party study (scope-qualified as method and cautionary pattern; not evidence about any insured depository institution).**

- Zukowski, “Anatomy of a Stablecoin Run: Reserve Exposure, Impaired Arbitrage, and Code-Level Contagion in the March 2023 USDC Depeg,” Tokenization Systems (2026). Source of the figures used in Recommendation 3: Circle’s \$3.3 billion (approximately 7.8 percent of about \$42.1 billion) reserve exposure at SVB and CLII score of 0.92; Tether’s CLII score of 0.52 and maintained peg; the approximately 11 percent intraday depeg to roughly \$0.89 against the roughly \$0.92 zero-recovery floor; the within-unit event-study trough of 9.77 percentage points below par at hour +10; the structural-break test at the March 12, 2023 systemic-risk announcement (Chow F = 7.41, p = 0.0012; HAC joint Wald F = 12.71, p < 0.001); and the MakerDAO Peg Stability Module’s absorption of approximately \$1.30 billion of USDC in a single day.

- Zukowski (2026a), the source of the Control Layer Intensity Index used above.

**Bank-cross-section literature (source of the funding-structure transposition; the first entry consulted directly, the remaining two cited as they appear in the study above).**

- Drechsler, Savov, Schnabl, and Wang, “Deposit Franchise Runs,” National Bureau of Economic Research Working Paper 31138 (April 2023, revised September 2024); consulted directly and quoted above from that working paper. Source of the event-study result that banks with more uninsured deposits experienced lower returns around the Silicon Valley Bank failure only where those deposits had a low deposit beta (sample of 715 United States commercial banks with at least \$1 billion in assets; 171 publicly traded banks in the event study).
- Jiang, Matvos, Piskorski, and Seru (2024), documenting that the uninsured-deposit share predicts run vulnerability in the cross-section of banks.
- Choi, Goldsmith-Pinkham, and Yorulmazer (2023), showing that uninsured-deposit reliance, held-to-maturity losses, and size predict the cross-section of bank-stock contagion after the SVB run.

**Prior program comments referenced for coordination (not restated).**

- FDIC prudential activities rule (RIN 3064-AG19); FDIC application-process rule (RIN 3064-AG20); FDIC Bank Secrecy Act and sanctions rule (RIN 3064-AG29); FinCEN general anti-money-laundering rulemaking (FINCEN-2026-0034); FinCEN and OFAC permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100).